

Revenue declined 48.7% in 2020, driven entirely by order volume rather than pricing.

This report covers 62,884 order lines placed between January 2016 and February 2021, across 8 product categories, 66 stores in 8 countries and 11,887 customers — read for revenue drivers, margin concentration and where growth restarts.

\$46.4M Total revenue FY2016 to Feb 2021	50.2% Blended gross margin stable within 2 pts	26,326 Orders recorded 197,757 units	\$1,763 Average order value flat across the period	61% Repeat-purchase rate of 11,887 customers
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Nine sections, ordered so the finding comes first, then the supporting evidence, then the actions.

01 **Executive summary**
Where revenue and margin concentrate, and what moved in 2020.

02 **Revenue trend & growth**
How the decline arrived, and whether it was price or volume.

03 **Category & brand performance**
Which lines carry revenue, which carry margin, and which do neither.

04 **Stores & channel**
Store rankings, footprint efficiency and the shift to online.

05 **Products & subcategories**
Where margin concentrates and dilutes, product by product.

06 **Purchase frequency & seasonality**
How often customers return, and the shape of a normal year.

07 **Customer demographics**
Who buys, by age, gender and geography.

08 **Summary of key insights**
Consolidated findings across all seven analysis sections.

09 **Next steps**
Five actions, sequenced, with the metric that proves each one.

Revenue and margin are concentrated in four categories, one channel and a small group of stores, and the 2020 decline came from order volume

FY2016 – Feb 2021 ▾ All categories ▾ All channels ▾ Gross, USD ▾

\$46.4M

Total revenue
FY16 – Feb'21

\$23.3M

Gross profit
50.2% margin

26,326

Orders
\$1,763 average

-48.7%

FY20 vs FY19
volume, not price

61%

Repeat buyers
39% never return

Four categories carry 73% of revenue

Computers		\$17.3M
Home Appliances		\$7.5M
Cameras and camcorders		\$5.8M
Cell phones		\$5.7M
TV and Video		\$5.2M
Audio		\$2.2M
Music, Movies and Audio Books		\$2.2M
Games and Toys		\$0.5M

Computers alone is 37% of revenue and holds a 53.7% margin. Home Appliances is the second-largest line but the weakest of the four on margin at 40.4%.

73% of revenue in the top four categories

The top 8 stores hold 19% of revenue

Store 55 · United States		\$1.17M
Store 50 · United States		\$1.15M
Store 54 · United States		\$1.15M
Store 9 · Canada		\$1.11M
Store 45 · United States		\$1.11M
Store 57 · United States		\$1.10M
Store 61 · United States		\$1.08M
Store 59 · United States		\$1.08M

Revenue rank tracks floor space: the leaders are all 2,000 sqm US sites. Page 04 ranks the same estate on productivity instead, where the order changes completely.

\$9.5M online — larger than any 8 stores

Margin sits in cameras, screens and phones

Digital SLR Cameras		57.8%
Monitors		56.9%
Televisions		56.3%
Camcorders		55.9%
Desktops		53.5%
Movie DVD		44.4%
Water Heaters		37.5%
Washers & Dryers		36.5%

A 21-point spread between the best and worst subcategories on comparable revenue. The two weakest sit inside Home Appliances, which is where the margin action on page 03 points.

21 pts spread, best to worst subcategory

MAIN TAKEAWAY

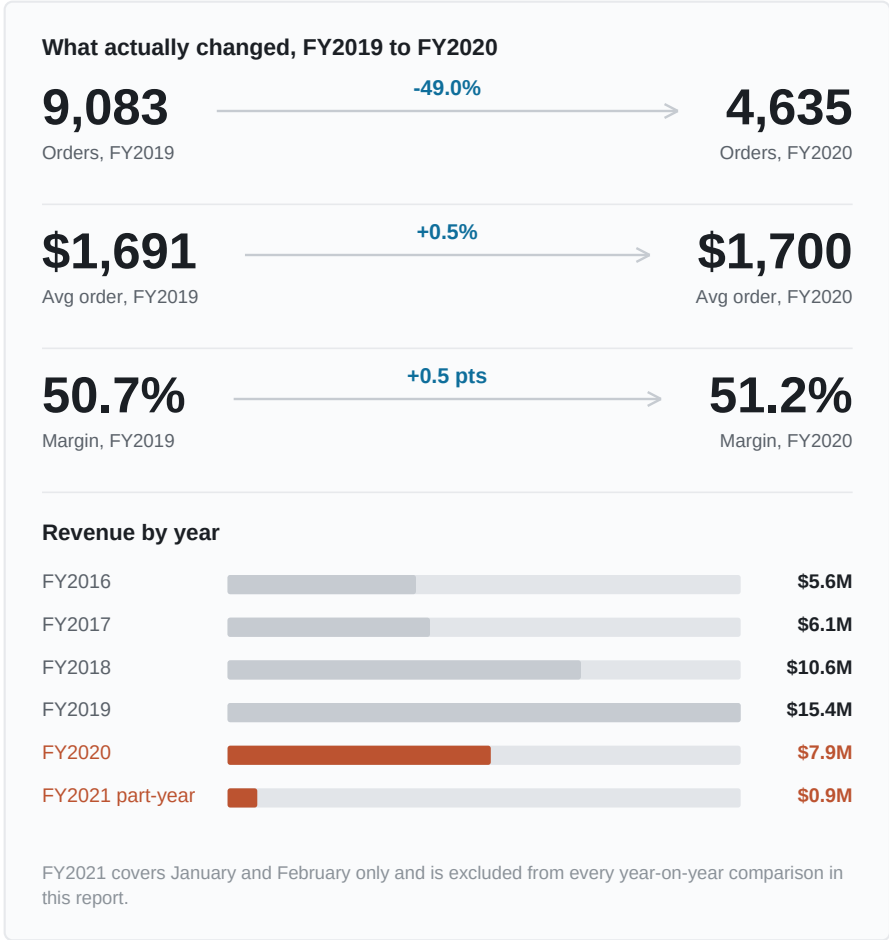
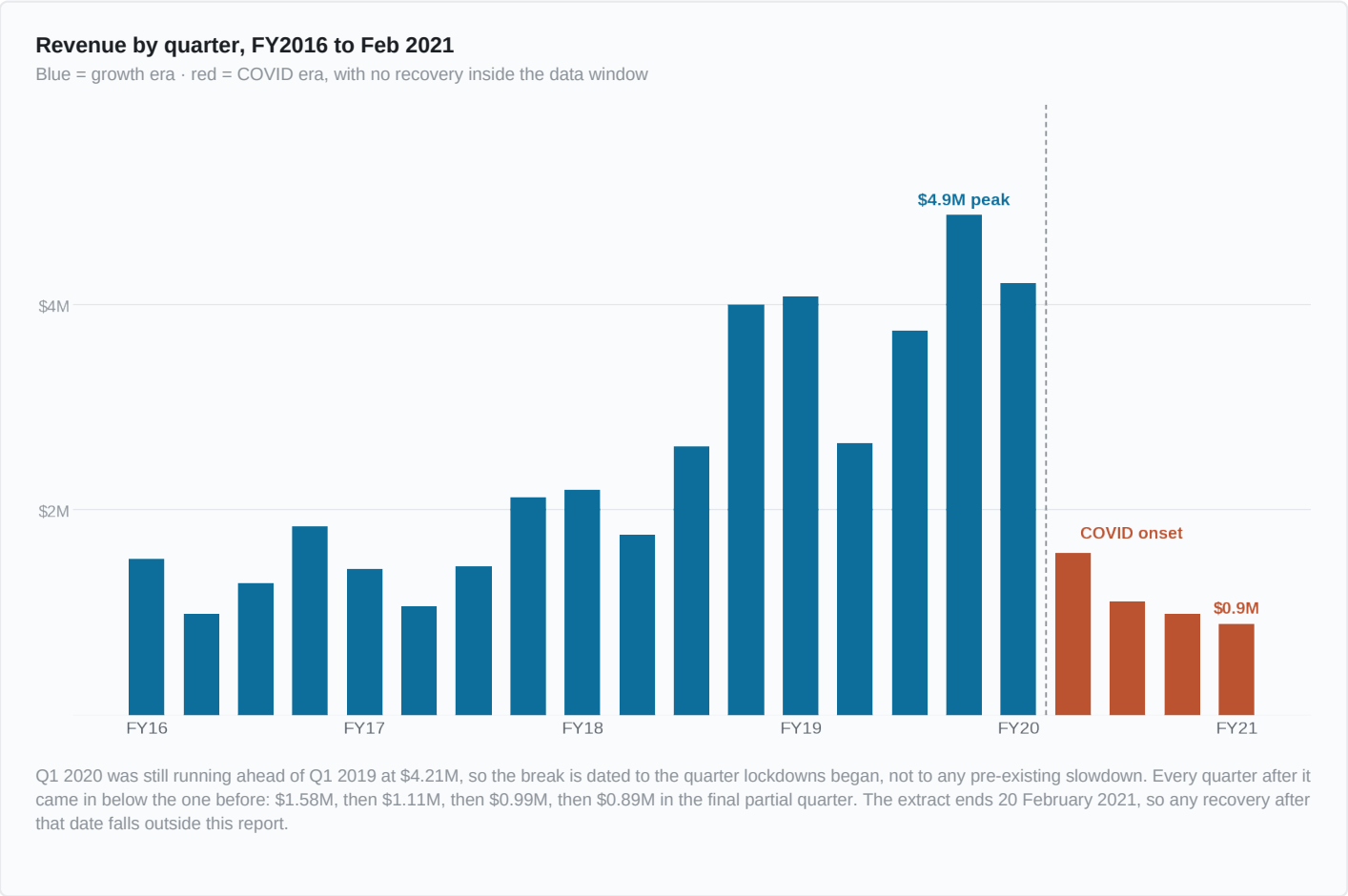
Four categories carry 73% of revenue, eight stores and one online channel carry a fifth of it, and margin ranges 21 points across subcategories doing similar volume. Nothing in the 2020 decline touched margin — it was orders that disappeared.

Global Electronics Retailer · Performance Analysis · FY2016 – Feb 2021

03

Revenue grew for four consecutive years to a \$15.4M peak before falling 48.7%, with order count halving while average order value held at \$1,763

FY2016 – Feb 2021 Quarterly All categories

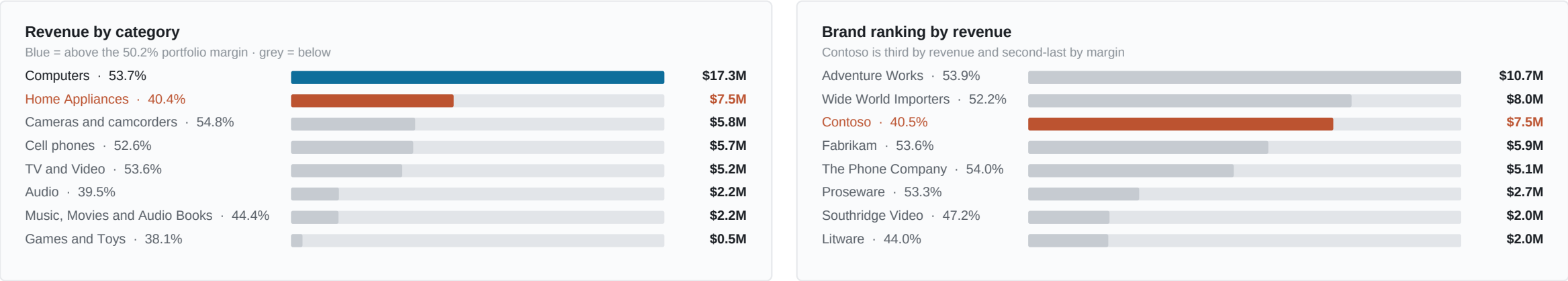


MAIN TAKEAWAY

Orders fell 49.0% while the average order value moved 0.5% and margin moved half a point. This is a demand shock with no pricing component, which is why the actions on page 09 target reactivation and acquisition rather than price or assortment.

Four of the eight categories trade above the 50.2% portfolio margin, while Home Appliances and Contoso sit 10 to 15 points below comparable peers

FY2016 – Feb 2021 Category × Brand Revenue & margin %



Category scorecard — \$46.4M across 26,326 orders and 197,757 units							
CATEGORY	REVENUE	% OF TOTAL	MARGIN %	UNITS	ORDERS	UNITS / ORDER	AVG UNIT PRICE
Computers	\$17.33M	37.3%	53.7%	44,151	10,990	4.0	\$393
Home Appliances	\$7.55M	16.3%	40.4%	18,401	5,195	3.5	\$410
Cameras and camcorders	\$5.76M	12.4%	54.8%	17,609	4,995	3.5	\$327
Cell phones	\$5.67M	12.2%	52.6%	31,477	8,442	3.7	\$180
TV and Video	\$5.16M	11.1%	53.6%	11,236	3,325	3.4	\$459
Audio	\$2.22M	4.8%	39.5%	23,490	6,625	3.5	\$94
Music, Movies and Audio Books	\$2.20M	4.7%	44.4%	28,802	7,784	3.7	\$76
Games and Toys	\$0.53M	1.1%	38.1%	22,591	6,128	3.7	\$23
Total (all 8 categories)	\$46.41M	100%	50.2%	197,757	26,326	3.8	\$235
Margin below the 50.2% portfolio average is highlighted. Home Appliances is the only large category among them: closing its 9.8-point gap is worth roughly \$0.74M in gross profit at unchanged volume.							

MAIN TAKEAWAY

Home Appliances is the only large category diluting margin, and Contoso is the brand doing most of that work — third-largest by revenue at 40.5% margin against 52–56% for every brand around it. A pricing and sourcing review on that one brand is the highest-value margin action available.

Online has increased its share of revenue in every year including 2020, while revenue per square metre varies 65-fold across 66 stores

FY2016 – Feb 2021 Store × Channel Revenue & revenue per sqm

\$36.9M
Physical stores
66 stores · 50.3% margin

\$9.5M
Online channel
50.2% margin · \$1,702 AOV

17% → 27%
Online share of revenue
FY2016 → FY2020

65×
Best vs. worst store per sqm
\$1,211 against \$19

Top 8 stores by revenue

Store 55 · United States		\$1.17M
Store 50 · United States		\$1.15M
Store 54 · United States		\$1.15M
Store 9 · Canada		\$1.11M
Store 45 · United States		\$1.11M
Store 57 · United States		\$1.10M
Store 61 · United States		\$1.08M
Store 59 · United States		\$1.08M

Revenue rank is dominated by the largest 2,000 sqm US sites, so it says more about floor space than about how well a store actually trades. Seven of the eight are American.

Revenue per sqm — best 4 and worst 4

Store 66 · United States		\$1,211
Store 43 · United States		\$874
Store 47 · United States		\$843
Store 56 · United States		\$805
Store 20 · Germany		\$187
Store 4 · Australia		\$185
Store 41 · United Kingdom		\$149
Store 2 · Australia		\$19

Store 2 in Australia has traded since January 2008 and turns \$19 per sqm. Thirteen years rules out a ramp-up explanation — this is the clearest operational outlier in the estate.

Market scorecard

MARKET	REVENUE	MARGIN	AOV
United States	\$19.79M	50.3%	\$1,775
Online	\$9.50M	50.2%	\$1,702
United Kingdom	\$4.79M	49.9%	\$1,719
Germany	\$3.53M	50.4%	\$1,854
Canada	\$2.98M	49.5%	\$1,687
Australia	\$1.74M	50.9%	\$1,934
Italy	\$1.72M	50.5%	\$1,931
Netherlands	\$1.34M	51.1%	\$1,722
France	\$1.02M	50.8%	\$1,794

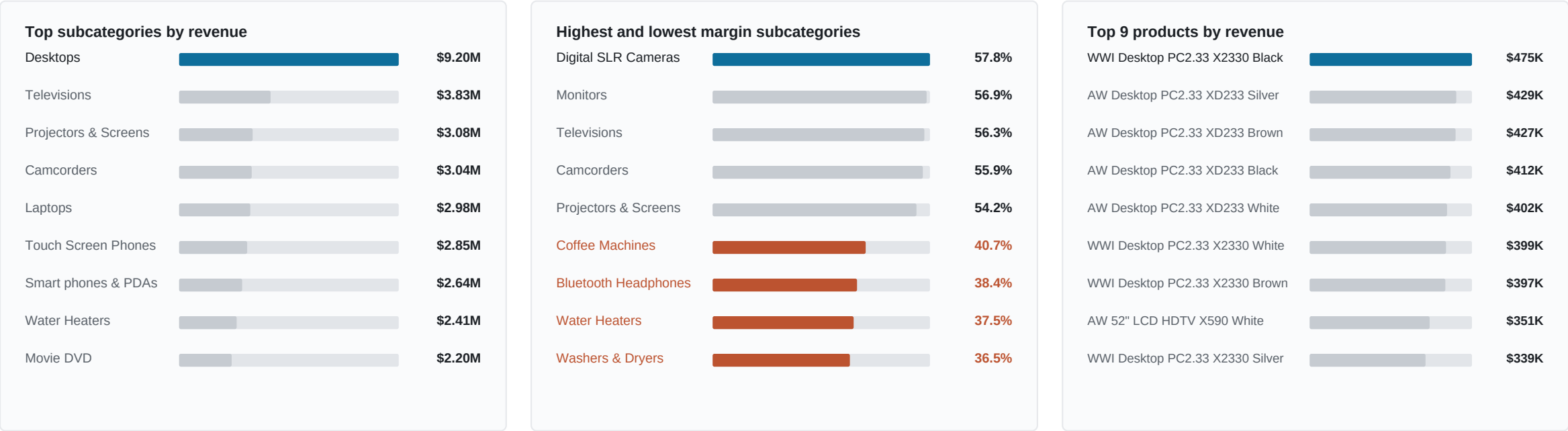
Margin sits within 1.6 points in every market, so market differences are about scale and footprint rather than pricing. Australia earns the highest average order but the lowest revenue per sqm.

MAIN TAKEAWAY

Online is the only channel that grew share every year, including through 2020, and it does so at the same margin as the stores. Incremental spend belongs there, while the weakest physical sites — led by Store 2 in Australia — need an operational review rather than more space.

Revenue concentrates in desktop PCs while margin concentrates in cameras and screens, with limited overlap between the two

FY2016 – Feb 2021 Subcategory Revenue > \$400K



Reading the two rankings together

Eight of the nine best-selling products are desktop PCs from two brands, and Desktops alone is \$9.2M — a fifth of the whole book. That concentration is an opportunity on the buying side: supplier terms on a handful of SKUs move more gross profit than a catalogue-wide negotiation, and those same nine products are the natural anchor for any reactivation offer aimed at lapsed customers, because they are what most of those customers bought the first time.

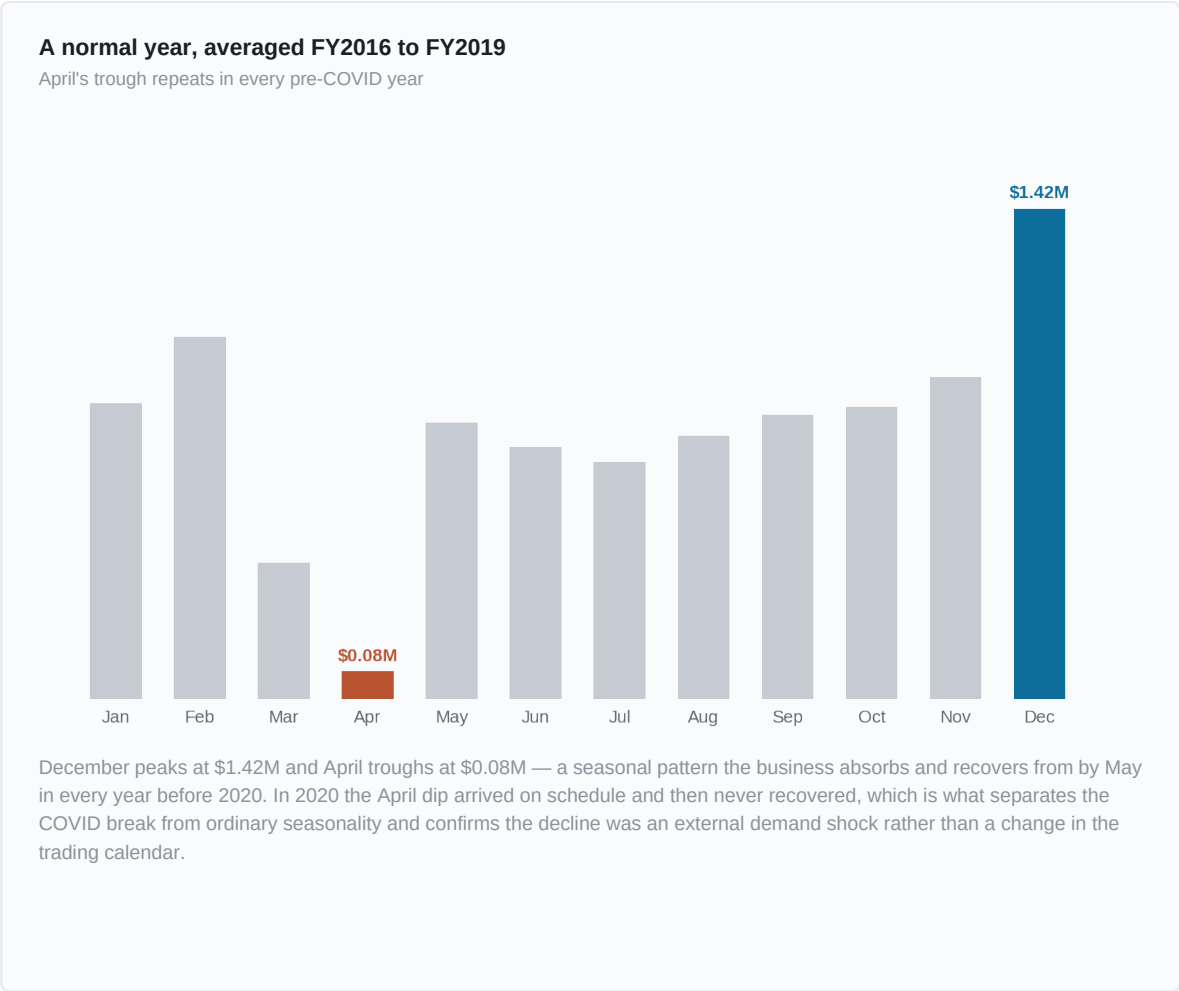
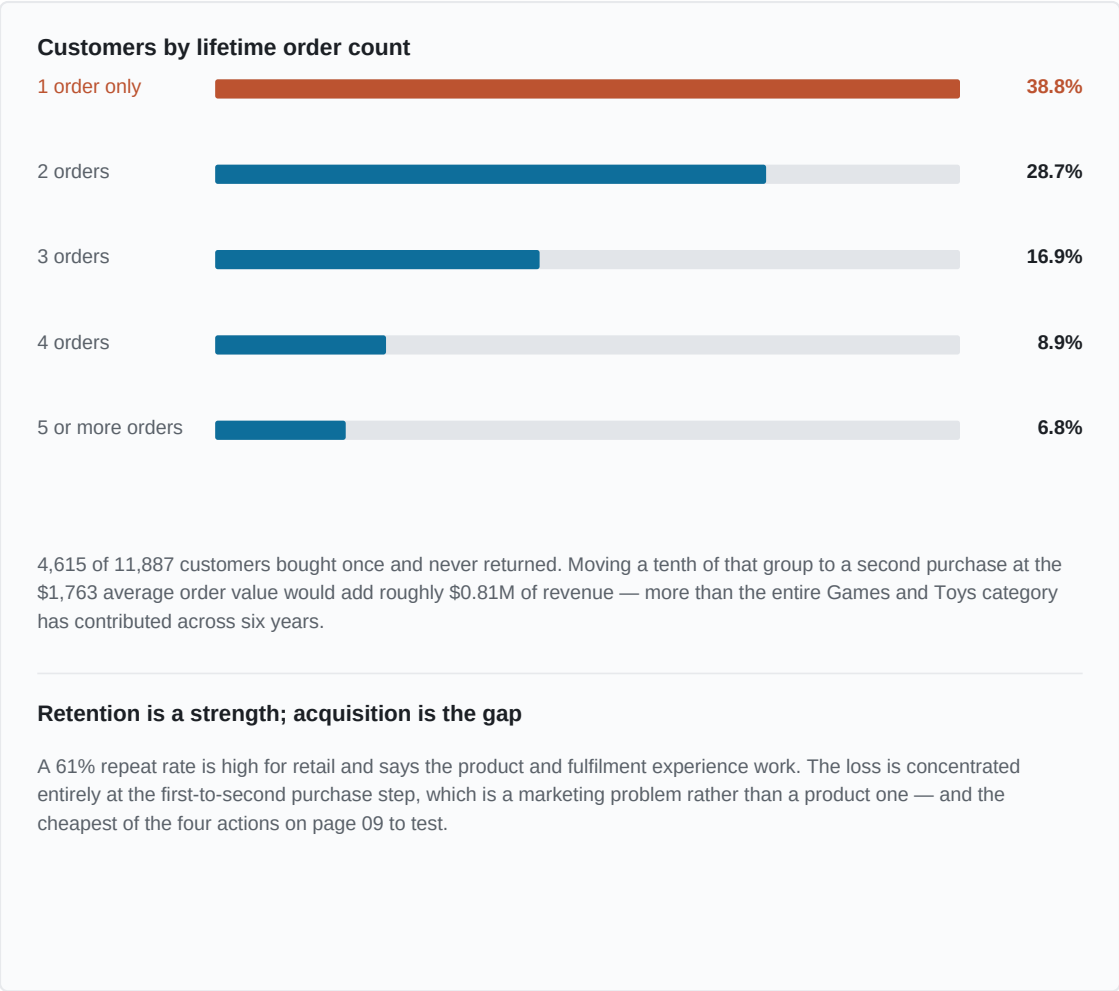
Margin sits somewhere else entirely. Cameras, monitors, televisions and camcorders all clear 54% but together contribute far less revenue than Computers. The four weakest subcategories — coffee machines, headphones, water heaters and washers — all sit inside Home Appliances and Audio, and all trade 10 to 14 points below the portfolio average on prices that have not moved across six years of data.

MAIN TAKEAWAY

Volume and margin live in different parts of the catalogue. Protect the desktop PC lines that drive revenue, and fix price or sourcing on the Home Appliances subcategories that dilute it — neither decision requires trading one against the other.

61% of customers place a repeat order, and April represents a recurring seasonal trough across all pre-COVID years

FY2016 – Feb 2021 All 11,887 customers Pre-2020 for seasonality



MAIN TAKEAWAY

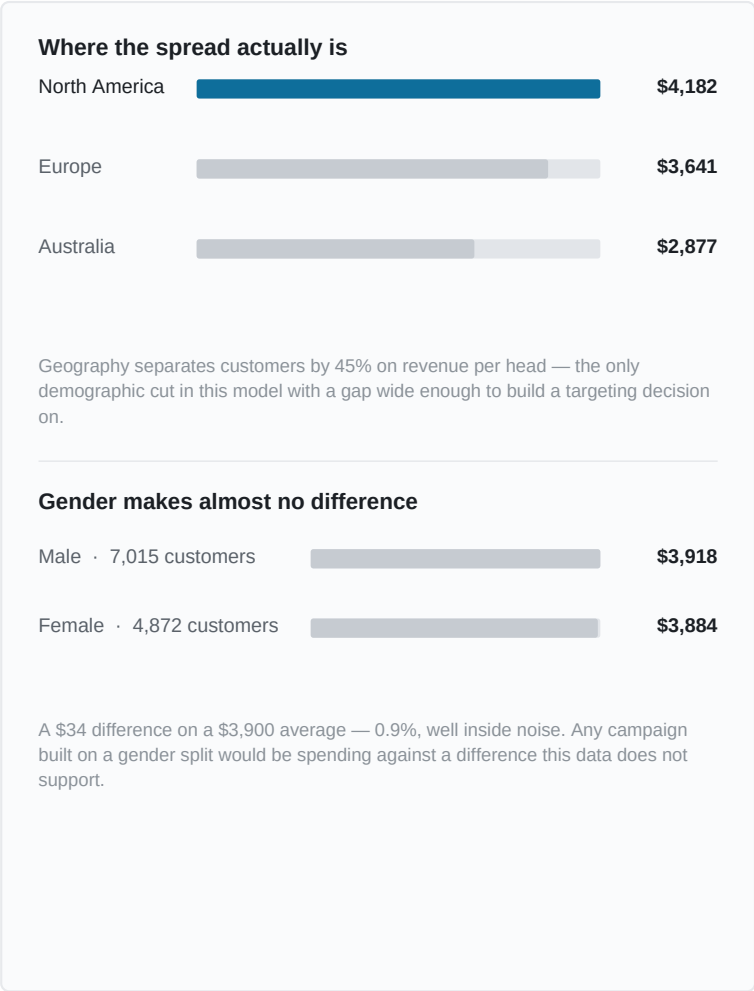
The business retains well and sells on a predictable calendar. Both facts point at the same action: a reactivation programme aimed at the 4,615 one-and-done customers, timed to land ahead of the November and December peak rather than into the April trough.

Revenue per customer varies by 45% across geographies, 14% across age bands and 1% across gender

FY2016 – Feb 2021

Age × Gender × Geography

Revenue per customer



MAIN TAKEAWAY

Geography is the only demographic that materially separates customer value, at a 45% spread between North America and Australia. Age moves 14% and gender moves 1% — so segmentation effort belongs in market and channel, not in age or gender profiles.

Consolidated findings across revenue, products, stores and customers

FY2016 – Feb 2021 ▾ All sections ▾ Executive digest ▾

REVENUE & GROWTH

- Revenue grew every year to a \$15.4M peak in FY2019, then fell 48.7% in FY2020.
- Orders fell 49.0% while average order value moved 0.5% and margin moved half a point — a demand shock with no pricing component.
- Q1 2020 still ran ahead of Q1 2019; the break dates precisely to the quarter lockdowns began, and no recovery appears before the February 2021 cutoff.
- December peaks at \$1.42M and April troughs at \$0.08M in every pre-COVID year, so the calendar itself is predictable.

PRODUCTS & MARGIN

- Four categories carry 73% of revenue; Computers alone is 37% at a 53.7% margin.
- Home Appliances is 16.3% of revenue at 40.4% margin — a 9.8-point gap worth roughly \$0.74M in gross profit at unchanged volume.
- Contoso is third-largest by revenue at 40.5% margin against 52–56% for neighbouring brands.
- Eight of the nine best-selling products are desktop PCs from two brands, while margin concentrates in cameras and screens.

STORES & CHANNEL

- Online grew from 17% to 27% of revenue, gaining share every year including FY2020, at the same margin as stores.
- Revenue per sqm ranges from \$1,211 to \$19 across 66 stores; the weakest site has traded since 2008.
- Margin sits within 1.6 points across all nine markets — differences are scale and footprint, not pricing.

CUSTOMERS

- 61% of customers return, but 4,615 of 11,887 never place a second order.
- Converting a tenth of that group would add roughly \$0.81M at the current average order value.
- Geography separates customer value by 45%; age by 14% and gender by 1%.
- North America carries 62% of revenue on 58% of customers, at \$4,182 per head.

MAIN TAKEAWAY

Concentration, not breadth, defines this book. A handful of categories, brands, stores and products account for most of the \$46.4M — and the 2020 decline sits entirely in order volume, leaving margin, retention and product economics intact as a base to rebuild from.

Five recommended actions

Next two quarters ▾

Ranked by value at stake ▾

Owner to be assigned ▾

ACTION		MEASURE THAT CONFIRMS IT	VALUE AT STAKE
01	Launch a reactivation campaign against the 4,615 one-and-done customers Orders, not prices, drove the decline, and 39% of customers never return after a first purchase. Segment by the category of that first order and anchor the offer on the desktop PC lines that already drive demand.	Second-order conversion rate within 90 days	\$0.81M at 10% conversion
02	Run a pricing and sourcing review on Contoso and the Home Appliances subcategories Home Appliances sits 9.8 points below the portfolio margin at 16.3% of revenue, and Contoso carries most of that gap at 40.5% against 52–56% for neighbouring brands on comparable revenue.	Category and brand margin % against the 50.2% average	\$0.74M in gross profit
03	Shift incremental acquisition budget to the online channel Online rose from 17% to 27% of revenue, gaining share in every year including the collapse, and it does so at the same 50.2% margin as physical stores — so growth there is not bought with margin.	Online share of revenue, quarterly	Proven channel already compounding
04	Open an operational review on the weakest stores, starting with Store 2 in Australia Footprint productivity ranges from \$1,211 to \$19 per sqm. The weakest sites have traded for over a decade, so this is an execution question — staffing, assortment, catchment — not a ramp-up curve.	Revenue and gross profit per sqm by store	\$0.85M revenue in the bottom 4
05	Close the three data gaps before the next planning cycle Returns and discounts are absent from the model, so every figure here is gross; Exchange_Rates is not yet joined on a Currency + Date key; and Delivery Date has no active relationship, so fulfilment time cannot be measured.	Model completeness at next refresh	Enables net-of-returns reporting

HOW TO SEQUENCE

Sequence matters: reactivation and the Contoso margin review carry roughly \$1.55M between them and need no new capability, so they run first. The data-model fixes in step 05 are what let the next version of this report measure net revenue, fulfilment time and true currency exposure.